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NATURE OF PROCEEDINGS

Hearing on Demurrer.

The Demurrer is sustained without leave to amend as to the derivative breach of contract claim, and is otherwise overruled.

BACKGROUND

Plaintiff Antonio Ponce (Plaintiff), individually and derivatively on behalf of nominal defendant Caliente Landscape, Inc. (Landscape), filed this action against Julio Cesar Ponce (Cesar) and Pierre Charbat (Charbat), collectively "Defendants." Plaintiff alleges that he built a landscaping and maintenance business beginning in 1992, and that in 2013 he and Cesar, who is his son, formed Landscape as its operating entity, with Plaintiff holding seventy-five percent of the shares and Cesar twenty-five. He alleges that Defendants induced him to give up that interest in stages, that they formed a second company, Caliente Maintenance, Inc. (Maintenance), and divided the business between the two entities, and that Cesar then kept Landscape's customers and pushed him out of the business he built.

The causes of action in the Fourth Amended Complaint (4AC) are: (1) Breach of Oral Contract; (2) Fraud; (3) Conversion (Direct); (4) Conversion (Derivative); (5) Breach of Fiduciary Duty; (6) Intentional Infliction of Emotional Distress; and (7) Inspection of Books and Records.

Defendants filed a Demurrer. Plaintiff filed an Opposition.

Defendants previously filed demurrers to the First Amended Complaint and to the Third Amended Complaint (TAC). The Court sustained the demurrer to the TAC in part, with leave to amend, and overruled it in part.

LEGAL STANDARD

A demurrer tests whether the pleading states facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).) The ground must appear on the face of the pleading or from matter subject to judicial notice. (Code Civ. Proc., § 430.30, subd. (a).) The Court “‘treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.’” (Blank v. Kirwan (1985) 39 Cal.3d 311, 318 (Blank).) It gives the pleading “a reasonable interpretation, reading it as a whole and its parts in their context.” (Ibid.) “If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co (1998) 19 Cal.4th 26, 38.)

ANALYSIS

I. Oral Contract- Derivative Claim

Defendants argue that the First Cause of Action fails because the 4AC pleads no facts showing Landscape was a party to or a beneficiary of the oral agreement.

The First Cause of Action is pleaded both as Plaintiff’s claim in his own right and derivatively on Landscape’s behalf. (4AC, at p. 6.) The Demurrer is directed to the derivative claim. (Dem., at p. 3:5-6.) “[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

Here, the 4AC alleges that in May 2022 Cesar and Charbat formed Maintenance and named Plaintiff its sole officer and director. (4AC, ¶ 24.) Cesar and Plaintiff agreed to divide Landscape from Maintenance for tax purposes, with Plaintiff running Maintenance and Cesar running Landscape. (4AC, ¶ 24.) The division was to be one on paper alone. The two entities would operate as a single business, and Landscape would continue to bill the same customers. (4AC, ¶¶ 25-26, 41.)

The 4AC alleges three promises by Cesar in return: \$49,000 per month for the work performed and for Maintenance's payroll; a continuing fifty percent ownership interest and fifty percent of the profits of both entities, whichever of them the income was paid to; and the amounts earned above \$4,000 per day on the projects Plaintiff procured. (4AC, ¶¶ 26, 40.) Plaintiff's consideration was the transfer of his remaining interest in Landscape together with his agreement to the changes in structure Cesar proposed. (4AC, ¶ 43.) Plaintiff performed by continuing to generate business and to operate it, the promised payments diminished and then stopped in 2024, and Plaintiff was damaged in an amount subject to proof. (4AC, ¶¶ 48-52.)

Landscape is not alleged to be a party to the oral agreement. The 4AC alleges an agreement "between the father and son," under which Cesar promised to pay Plaintiff and Plaintiff transferred his ownership interest as consideration. (4AC, ¶¶ 41, 43.) The derivative claim depends instead on the allegation that "Landscape was to be the beneficiary of the oral agreement therefore a derivative claim is warranted." (4AC, ¶ 45.)

A person who is not a party to a contract may enforce it only as a third-party beneficiary. "A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it." (Civ. Code, § 1559.) The section "excludes enforcement of a contract by persons who are only incidentally or remotely benefited by it." (*Martinez v. Socoma Companies, Inc.* (1974) 11 Cal.3d 394, 400.) A court examines "the express provisions of the contract at issue, as well as all of the relevant circumstances under which the contract was agreed to, in order to determine not only (1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. All three elements must be satisfied to permit the third party action to go forward." (*Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 830.) The second element asks for "a motivating purpose to benefit the third party, and not simply knowledge that a benefit to the third party may follow from the contract." (*Ibid.*)

Here, the statements the 4AC attributes to Defendants do describe a corporate purpose. Cesar represented that the split "was for tax purposes" and that Landscape would continue to run as one. (4AC, ¶ 40.) Defendants told

Plaintiff that the split and the change in ownership “would be to the company’s benefit, make it run more smoothly and provide tax benefits.” (4AC, ¶ 55.) Charbat represented that the earlier transfer of a twenty-five percent interest “would be beneficial to the business.” (4AC, ¶ 18.)

The pleading alleges that Defendants knew none of it was true. They “knew it was not for legitimate purposes in the best interests of the company, but instead to strip [Plaintiff] of his ownership interest in the company he built.” (4AC, ¶ 56.) There was “no legitimate business purpose” for granting Cesar a controlling interest, and “[t]he only purpose was to allow CESAR to gain unfettered control over Landscape.” (4AC, ¶ 59.)

The 4AC alleges that Plaintiff himself believed the corporate purpose. He understood the changes “would be helpful to the business,” he “had no reason to disbelieve his own son and business partner,” and he “justifiably relied on Defendants’ assertions that the changes they were making were good for the company.” (4AC, ¶¶ 41, 57, 61.) Those allegations describe what Plaintiff believed the restructuring would do for the company, and Defendants induced that belief. The second element asks instead for a motivating purpose of the contracting parties in making the agreement. This derivative claim depends on Cesar’s promise to pay Plaintiff, and no allegation attributes to either party a purpose of benefiting the corporation by that promise.

The agreement’s benefits ran to Plaintiff, who was to receive half the profits of Landscape and Maintenance, the amounts above \$4,000 per day, and his continued fifty percent ownership. (4AC, ¶¶ 26, 40.) The damages alleged for the breach are damages to Plaintiff. (4AC, ¶ 52.) The only role the pleading gives Landscape in the agreement is as the source of the payments Cesar promised to make. (4AC, ¶¶ 49-50.) That role is an obligation on the corporation, not a benefit to it. The allegation that Cesar’s conduct caused Landscape’s foreman and two designers to quit describes an injury to Landscape, not a benefit the contracting parties meant to give it. (4AC, ¶ 44.)

The beneficiary allegation states a legal characterization and no facts. (4AC, ¶ 45.) A demurrer does not admit it. (Blank, *supra*, 39 Cal.3d at p. 318.) The Court concludes that Landscape was neither a party to nor an intended beneficiary of the oral agreement, and that it has no claim for the agreement’s breach.

The Demurrer to the derivative breach of contract claim is sustained without leave to amend.

II. Direct Conversion

Defendants argue that the Third Cause of Action pleads no wrongful act because the 4AC alleges Plaintiff was induced to transfer his interest voluntarily, leaving fraud and rescission as his remedies. (Dem., at p. 9:22-28.)

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages.” (Burlesci v. Petersen (1998) 68 Cal.App.4th 1062, 1066.) The first element is the plaintiff’s “ownership or right to possession of the property at the time of the conversion.” (Oakdale Village Group v. Fong (1996) 43 Cal.App.4th 539, 543-544.) Shares of stock are subject to an action for conversion. (Payne v. Elliot (1880) 54 Cal. 339, 342.) “It is the general rule that in actions for the conversion of personal property where the property has been procured by fraud, it is not necessary to allege the fraud, but it is sufficient to declare generally, that the property was wrongfully converted.” (Wendling Lumber Co. v. Glenwood Lumber Co (1908) 153 Cal. 411, 414 (Wendling).)

Here, the 4AC alleges that Plaintiff held seventy-five percent of Landscape’s shares, that Defendants took that interest by inducing him to give it up “through false representations about their motives,” and that he is entitled to the return of the shares. (4AC, ¶¶ 67, 69-70.) That is the general averment Wendling holds sufficient. The pleading goes further. The Third Cause of Action is pleaded against Cesar, and Cesar received both transfers the pleading describes. (4AC, at p. 9; 4AC, ¶¶ 19, 56.) Charbat advised Plaintiff to give Cesar an additional twenty-five percent interest because Cesar held a contractor license. Charbat represented that the transfer “would be beneficial to the business,” and Charbat and Cesar both represented that the operations would not change and that Plaintiff would still run the company. (4AC, ¶ 18.) Plaintiff transferred the interest to Cesar in reliance. (4AC, ¶ 19.) Defendants later told Plaintiff that dividing the company and changing its ownership to fifty percent each “would be to the company’s benefit, make it run more smoothly and provide tax benefits.” They knew at the time that the purpose was to strip him of his interest. (4AC, ¶¶ 55-56.)

Consent obtained through fraud “is not absolutely void, but may be rescinded by the parties, in the manner prescribed by the Chapter on Rescission.” (Civ. Code, § 1566.) A party whose consent was obtained through fraud may rescind the contract. (Civ. Code, § 1689, subd. (b)(1).) To effect a rescission the rescinding party must give notice and restore or offer to restore what he received. (Civ. Code, § 1691.) “When notice of rescission has not otherwise been given or an offer to restore the benefits received under the contract has not otherwise been made, the service of a pleading in an action or proceeding that seeks relief based on rescission shall be deemed to be such notice or offer or both.” (Ibid.) The rescinding party may then seek “any other relief to which he may be entitled under the circumstances,” and “[a] claim for damages is not inconsistent with a claim for relief based upon rescission.” (Civ. Code, § 1692.)

Plaintiff alleges that the transfer of his ownership interest was procured through fraud, seeks rescission of it, and prays for an order returning the stock to him. (4AC, ¶ 63; 4AC, Prayer, ¶¶ 1, 3.) Service of that pleading is the notice of rescission and the offer to restore, so the 4AC need not allege a rescission accomplished before the action was filed. (Civ. Code, § 1691.) On the allegations Plaintiff has given notice of rescission and seeks to avoid the transfers. The 4AC therefore pleads a right to possession of shares that Cesar holds and has not returned. (4AC, ¶¶ 47, 70.)

Defendants’ position is that Plaintiff consented, and that a transfer induced by fraud gives him an action for fraud and rescission and nothing else. A conversion claim does not rest on the fraud that procured the property. It rests on the plaintiff’s ownership and the conversion. (Wendling, *supra*, 153 Cal. at p. 414.) Consent obtained by fraud is consent the defrauded party may avoid, and Plaintiff has avoided it by the pleading he served. Section 1692 permits him to seek damages alongside relief based on the rescission.

The Court concludes that the 4AC pleads each element of conversion, and the Demurrer to the Third Cause of Action is overruled.

III. Derivative Conversion

Defendants challenge Plaintiff’s standing to sue in Landscape’s right, because the 4AC alleges he transferred his entire interest to Cesar in 2022, before the conduct underlying this cause of action, and has held no shares

since. (Dem., at pp. 10:12 - 11:6.)

A shareholder suing in a corporation's right must allege "that plaintiff was a shareholder, of record or beneficially, ... at the time of the transaction or any part thereof of which plaintiff complains." (Corp. Code, § 800, subd. (b)(1).) California law also "generally requires a plaintiff in a shareholder's derivative suit to maintain continuous stock ownership throughout the pendency of the litigation." (Grosset v. Wenaas (2008) 42 Cal.4th 1100, 1119 (Grosset).)

Here, the 4AC alleges that Plaintiff transferred a twenty-five percent interest to Cesar around the end of 2020, leaving each of them a fifty percent owner. (4AC, ¶¶ 18-19.) It alleges that after that transfer Cesar took control of the company's finances, moved over \$200,000 out of the Landscape account to a different account for his benefit, and closed the company's bank account without Plaintiff's knowledge. (4AC, ¶¶ 21, 76.) The next dated event in the pleading is November 2021, and the transfer of Plaintiff's remaining interest is alleged in connection with the agreement made in May 2022. (4AC, ¶¶ 23-24, 43.) Read in the sequence the pleading sets out, the diversion of Landscape's funds occurred while Plaintiff held half of Landscape's shares. That satisfies the contemporaneous ownership requirement on the face of the 4AC.

The premise that the 4AC pleads away all of Plaintiff's ownership in 2022 also overstates the pleading. Plaintiff agreed to the change in structure "with the understanding that the company would continue to run as one and that ANTONIO would still be a fifty percent owner of the entire company," and the 4AC alleges that he "was still owner of the business that he built." (4AC, ¶¶ 40-41.)

Grosset reserved the question whether equitable considerations warrant an exception where a merger is used to deprive a plaintiff of standing. (Grosset, supra, 42 Cal.4th at p. 1119.) Haro took up that question outside the merger setting. Equitable considerations bear on shareholder standing, and a shareholder fraudulently induced to transfer his stock "remains the equitable owner of it, and may maintain a stockholder's suit." (Haro v. Ibarra (2009) 180 Cal.App.4th 823, 837 (Haro).) On that reasoning Haro held that plaintiffs whose shares the controlling directors had declared forfeited "alleged equitable considerations that warrant an exception to the continuous ownership requirement," and reversed a judgment of dismissal entered after demurrers were sustained. (Id. at pp. 837-838.) Defendants

further argue that the 4AC never alleges Plaintiff has obtained rescission restoring his shareholder status. (Dem., at pp. 10:27 - 11:6.) Haro applied the exception at the pleading stage, before anything had undone the forfeiture. (Id. at p. 838.) The continuous ownership requirement does not defeat the claim at this stage.

Defendants argue that the 4AC pleads no predicate for the exception, because it alleges neither that Plaintiff has obtained or is entitled to a constructive trust over Landscape's shares, nor that title has reverted to him, nor that he has obtained rescission of the 2022 transfer. (Dem., at pp. 10:27 - 11:6; Reply, at p. 4:3-8.) Defendants further argue that a transfer procured by fraud is voidable rather than void so legal title stays with the transferee until the transfer is rescinded and set aside. (Reply, at p. 4:6-10.)

The voidable-title argument is directed at a claim of present legal title, which Plaintiff does not make. The exception Haro describes turns on equitable ownership, which is what one fraudulently induced to transfer his stock retains before any rescission is adjudicated. (Haro, *supra*, 180 Cal.App.4th at p. 837.) Conditioning the exception on a completed rescission would deny it to every plaintiff in Plaintiff's position, because a defendant who takes shares by fraud can always answer that the plaintiff no longer holds them. Haro reversed at the pleading stage, before anything had undone the forfeiture. (Id. at p. 838.) Whether Plaintiff obtains rescission is a merits question and not a pleading question.

The 4AC alleges that Plaintiff parted with his interest because Defendants misrepresented their intentions, and that he seeks rescission of the transfer. (4AC, ¶¶ 56-57, 63.) His loss of shareholder status is the wrong he sues on. Taking those allegations as true, the 4AC does not show on its face that Plaintiff lost standing to sue derivatively.

The Demurrer to the Fourth Cause of Action is overruled.

IV. Fiduciary Duty

Defendants argue that the Fifth Cause of Action fails for the same standing reason. (Dem., at pp. 10:3 - 11:6.) They contend independently that the duty the 4AC describes runs from Cesar to Plaintiff personally rather than to Landscape, and that no corporate harm is pleaded apart from harm to Plaintiff. (Dem., at p. 11:12-25.) The standing argument fails for the reasons

discussed above.

An action is derivative “if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.” (Jones v. H. F. Ahmanson & Co. (1969) 1 Cal.3d 93, 106, quoting Gagnon Co., Inc. v. Nevada Desert Inn, Inc. (1955) 45 Cal.2d 448, 453.) A director “shall perform the duties of a director ... in good faith, in a manner such director believes to be in the best interests of the corporation and its shareholders and with such care, including reasonable inquiry, as an ordinarily prudent person in a like position would use under similar circumstances.” (Corp. Code, § 309, subd. (a).) “Corporate officers and directors are not permitted to use their position of trust and confidence to further their private interests.” (Bancroft-Whitney Co. v. Glen (1966) 64 Cal.2d 327, 345, quoting Guth v. Loft, Inc. (1939) 23 Del.Ch. 255 [5 A.2d 503, 510].)

Here, the Fifth Cause of Action alleges that Cesar diverted funds from Landscape for his personal use. (4AC, ¶ 83.) It incorporates the allegations that Cesar exercised complete dominion over Landscape’s bank accounts, removed \$100,000 from the Landscape account and moved over \$200,000 to another account for his benefit. (4AC, ¶¶ 74-76, 80.) A director who takes corporate funds for his personal use takes an asset of the corporation, and the claim to recover that asset is itself an asset of the corporation. The sums taken and the accounts they came from give that injury factual content beyond the allegation that Plaintiff and Landscape “have been damaged.” (4AC, ¶¶ 75-76, 84.)

The breach allegation also describes a duty running to Plaintiff, the duty to give him value for his agreement to the change in ownership structure and to pay him his share of the profits. (4AC, ¶ 83.) That describes an individual injury, but it does not defeat the derivative claim the allegation pleads alongside it. Accordingly, the Demurrer to the Fifth Cause of Action is overruled.

V. Inspection Rights

Defendants contend that Plaintiff is not a current shareholder entitled to inspect Landscape’s books and records under Corporations Code section 1601, and that the 4AC alleges no written demand on the corporation. (Dem., at pp. 11:26 - 12:18.) Plaintiff responds that both grounds could have been raised by

demurrer to the TAC and are barred now. (Opp., at pp. 4:25 - 5:1.)

Here, the Seventh Cause of Action is pleaded against Landscape alone. (4AC, at p. 13.) Landscape did not join the Demurrer, which Cesar and Charbat bring as to the causes of action “pleaded against them.” (Dem., at pp. 2:5-6, 3:2-3.) A demurrer is available to “[t]he party against whom a complaint or cross-complaint has been filed.” (Code Civ. Proc., § 430.10.) A cause of action asserted only against a co-defendant is outside that grant, so the objection is not one these Defendants may make.

In any event, both grounds were available on the demurrer to the TAC. “A party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer.” (Code Civ. Proc., § 430.41, subd. (b).) The Seventh Cause of Action in the 4AC repeats the Seventh Cause of Action in the TAC in materially identical terms. Both allege that Plaintiff made requests to Landscape for its books and records, “including the service of a subpoena,” and that Landscape neither confirmed it would produce them nor produced them. (4AC, ¶ 95; TAC, ¶ 92.) Both allege that Plaintiff seeks the records for purposes reasonably related to his interests as a shareholder. (4AC, ¶ 96; TAC, ¶ 93.) The allegations of the 2022 transfer that Defendants rely on appear in the TAC in the same words. (4AC, ¶¶ 43, 47; TAC, ¶¶ 43, 45.) Defendants state that Plaintiff has pleaded them consistently across the First Amended Complaint, the TAC, and the 4AC. (Dem., at p. 13:2-5.) Section 430.41, subdivision (b), forecloses both grounds now.

The Demurrer to the Seventh Cause of Action is overruled.

CONCLUSION

The Demurrer is sustained without leave to amend as to the derivative breach of contract claim and is otherwise overruled. Defendants shall file and serve an Answer within 20 days.